

Asset allocation, therefore, is an output of the analysis, as the entire retirement balance sheet is used and assets are allocated to match appropriately with the household's liabilities. Asset-liability matching removes the probability-based concept of safe withdrawal rates from the analysis, since it rejects relying on a diversified portfolio for the entire lifestyle goal.

The idea is to first build a floor of very low-risk guaranteed income sources to serve your basic spending needs in retirement. The guaranteed income floor is built with Social Security and any other defined-benefit pensions, and through the use of your financial assets to do things such as building a ladder of TIPS or purchasing an income annuity. Not all of these income sources are inflation adjusted, and you need to make sure the floor is sufficiently protected from inflation, but this is the basic idea.

Once there is a sufficient floor in place, you can focus on upside potential. With any remaining assets, you can invest and spend as you wish. Since this extra spending (such as for nice restaurants, extra vacations, etc.) is discretionary, it won't be the end of the world if you must reduce spending at some point. You still have your guaranteed income floor in place to meet your basic needs no matter what happens. With this sort of approach, withdrawal rates hardly matter.

*What is the safe withdrawal rate from a diversified portfolio of volatile assets?*

The general view of safety-first advocates is that there is no such thing as a safe withdrawal rate from a volatile portfolio. A truly safe withdrawal rate is unknown and unknowable. Retirees only receive one opportunity to obtain sustainable cash flows from their savings and must develop a strategy that will meet basic needs no matter the length of life or the sequence of postretirement market returns and inflation. Retirees have little leeway for error, as returning to the labor force might not be a realistic option. Volatile assets like stocks are not appropriate when seeking to meet basic retirement living expenses. Just because a strategy did not fail over a historical period does not ensure it will always succeed in the future.